



THE BROWN STUDIO

LEUCADIA, CALIFORNIA



PART
ONE

SETTING THE SCENE

The property and the vision.

ABOUT LA COSTA

The La Costa Hotel, an idyllic middle ground

Situated between Leucadia-Encinitas and Carlsbad in North County's coastal corridor, this serves as the ideal location for young, design-minded travelers seeking a coastal respite. This is one of Southern California's most desirable and under-hoteled stretches of coastline. The area draws experience-driven travelers and locals who flock to local-driven concepts and tasteful establishments that embrace grounded luxury.

The La Costa Hotel is a boutique hospitality project designed and developed by The Brown Studio. It is more than just a hotel—it is a thoughtfully designed environment that elevates the everyday, where every detail invites you to linger, feel calm, and truly belong.

The La Costa Hotel is positioned as both a destination stay and a genuine neighborhood anchor. A potential linkage with a second Brown Studio property in Oceanside would establish a multi-property North County corridor under a unified brand.

ABOUT LA COSTA

The Hotel at a Glance

The project is designed as a ~17-key hotel with a destination ~90 seat restaurant, poolside F&B, and flexible communal spaces. Construction submission is targeted within six months, with feasibility studies currently in progress.

The La Costa Hotel brings together a boutique hotel, destination restaurant, and curated event spaces under one roof. The design sensibility — Soft Modern — is warm, restrained, and lived-in. Nothing is overstyled.

The F&B program is designed to function as a neighborhood destination in its own right, driving local traffic and revenue independent of occupancy.

Key Investment Highlights:

Underserved Market

No well-designed, independently operated boutique hotel currently serves the design-literate traveler in North County San Diego.

Multiple Revenue Streams

Rooms, café, bar, poolside F&B, and potential event/rental programming within a single asset.

High-Value Guest Profile

Design-minded adults and modern families who stay longer, rely less on OTAs, and refer quietly to people whose taste they trust.

Brand Based

The platform builds brand equity across future acquisitions — not just a property investment.

SITE PLAN - OVERVIEW



SITE PLAN - UNIT TYPES

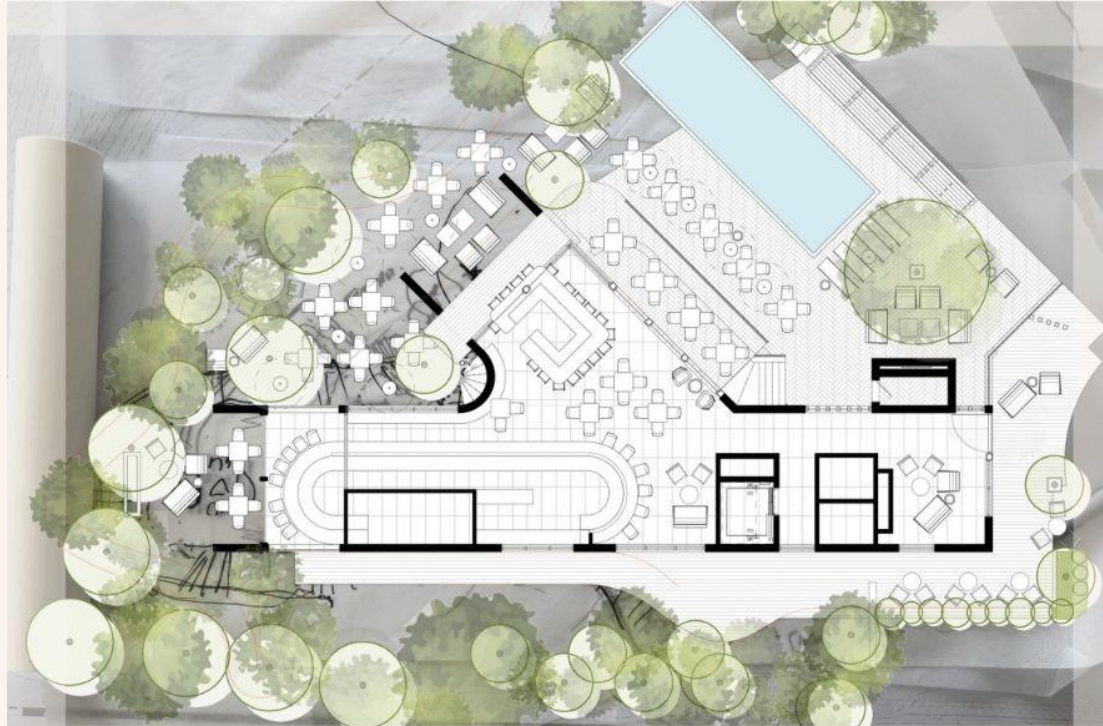
Bungalows: (4) total units



Row Houses: (5) total units



SITE PLAN - RESTAURANT, OUTDOOR SEATING & POOL



PART
TWO

THE MARKET

*The demand and the
supply.*

Comp Set: L'Auberge Del Mar Resort, The Inn at Rancho Santa Fe, Rancho Valencia Resort & Spa, Alila Marea Beach Resort Encinitas, Four Seasons Residence Club Aviara, Omni La Costa Villas

[illegible]

STR MARKET REPORT - CURATED BENCHMARK

Comp Set: Rancho Valencia Resort & Spa, The Surfrider Malibu, The Sea Ranch Lodge, Hotel Joaquin

[illegible][illegible][illegible]

STR MARKET REPORT

		Revenue Per Rooms Sold							
		Room		F&B		Other		Total	
Current Month		Comp Set	Industry	Comp Set	Industry	Comp Set	Industry	Comp Set	Industry
2024	Dec	553.83	183.53	594.47	70.69	437.87	51.80	1594.36	306.02
2025	Jan	520.46	192.91	372.03	155.76	258.94	44.46	1164.72	393.13
	Feb	529.83	213.85	392.92	153.86	226.07	45.15	1153.40	412.86
	Mar	535.67	206.90	436.26	126.24	245.53	51.48	1222.84	384.62
	Apr	545.90	210.69	412.68	100.96	269.97	49.97	1232.25	361.62
	May	539.22	217.17	458.76	108.36	253.19	34.73	1251.88	360.26
	Jun	541.31	240.65	392.45	89.12	438.55	56.96	1372.81	386.73
	Jul	657.42	264.22	436.48	83.86	310.39	56.75	1401.49	404.83
	Aug	662.76	214.87	505.50	75.67	278.63	64.43	1441.70	354.97
	Sep	558.24	212.94	553.04	119.33	253.09	42.61	1368.93	374.88
	Oct	587.79	219.29	486.48	135.78	233.14	48.11	1317.56	403.18
	Nov	550.64	198.15	451.88	118.86	278.05	41.50	1291.18	358.52
	Dec	549.09	161.65	547.46	74.95	361.18	62.75	1462.64	299.35
2026	Jan	513.11	186.22	401.39	142.48	303.45	50.42	1222.29	379.11
	Feb	527.98	222.74	416.24	135.12	258.35	39.49	1206.30	397.35
	Mar	578.34	221.23	391.41	121.04	308.38	53.88	1281.84	396.16
	Apr	566.48	220.43	427.92	117.37	259.18	48.11	1250.57	385.92
	May	581.30	213.07	514.32	130.58	292.52	57.75	1389.56	401.40
Year To Date									
2024		528.31	205.35	439.18	115.85	255.45	46.60	1228.13	367.79
2025		534.24	208.82	415.76	127.52	250.86	45.03	1206.42	381.37
2026		555.32	213.55	431.58	128.64	283.91	50.10	1272.75	392.29

STR MARKET REPORT

Overview

Leucadia and the broader North County San Diego coastline function as a high-demand, supply-constrained boutique leisure market. The area is defined by strong coastal demand, a relaxed luxury positioning, and easy access from key Southern California drive markets, including San Diego, Orange County and Los Angeles. Demand is primarily independent and experience-driven, supported by leisure travelers seeking authentic, design-forward coastal stays. New hospitality development remains limited due to zoning restrictions, coastal regulations and elevated construction costs, further reinforcing the area's limited-supply appeal.

Drivers

- Coastal leisure travel and weekend drive markets (SoCal, Arizona, Bay Area)
- Food & beverage-led visitation and restaurant-driven trips
- Wellness, surf and outdoor recreation economy
- Extended-stay “bleisure” demand from remote workers and creatives
- Small-scale events, retreats and partial or full-property buyouts
- Seasonal tourism peaks with relatively stable year-round baseline demand

STR MARKET REPORT

Luxury Hospitality Trends

- Continued shift toward small, design-led independent hotels rather than large-scale resort developments, reflecting the area's boutique coastal character
- Rising demand for residential-style accommodations, including suites with kitchenettes and townhome-style layouts suited for longer leisure stays (revisit this based on room types)
- Experience-led travel focused on food and beverage, wellness offerings, surf/outdoor lifestyle and deeper local immersion
- Growth in extended-stay “bleisure” demand within boutique hotel settings, particularly from remote workers and hybrid professionals
- Strong preference for authenticity, understated luxury and place-driven design over heavily branded or corporate hotel experiences
- Increasing direct bookings influenced by social media discovery, lifestyle branding and word-of-mouth rather than traditional distribution channel

STR MARKET REPORT

Opportunity

La Costa Hotel is positioned to fill a clear gap in the North County market: a highly curated, design-driven boutique hotel with integrated destination dining and residential-style accommodations.

Focuses

- Capturing unmet demand for upscale boutique stays between luxury resorts and STRs
- Establishing a restaurant-led hospitality anchor within Leucadia
- Monetizing extended-stay and hybrid leisure/remote work demand
- Leveraging small scale (~17 keys) to drive high ADR and strong rate integrity
- Creating a differentiated coastal experience that blends privacy, design and community access

MARKET CONTEXT

32M+

visitors to San Diego in 2024, about
18M staying overnight

~73%

average county hotel occupancy, best in
the West

\$14.6B

in direct visitor spending

San Diego is one of the strongest leisure markets in the country, and an unusually steady one: a mild climate keeps demand alive through the year rather than spiking and collapsing by season.

North County's coast, from Carlsbad through Encinitas to Del Mar, is the relaxed, design-literate end of that market. Leucadia sits at its heart, a surf town of bluffs and eclectic shops that increasingly draws the creative, affluent traveler La Costa Hotel is built for.

DEMAND DRIVERS

A full calendar of regional events keeps demand high across the year, alongside steady weddings, retreats, and weekend drive-market demand, with the heaviest draws from late spring through fall.

SPRING

March - May

The Flower Fields

Carlsbad's spring bloom, a 60-year tradition

Spring Street Fair

Encinitas, Highway 101, 100,000+ visitors

Carlsbad Village Faire

Among the nation's largest street fairs

SUMMER

June - August

San Diego County Fair

Del Mar, the area's single largest event

Switchfoot Bro-Am

Moonlight Beach surf-and-music fest

Del Mar racing opens

Where the turf meets the surf

FALL

September - November

Del Mar fall racing

Plus the Breeders' Cup when hosted

Fall Festival & Oktoberfest

The Highway 101 street fairs

Peak surf season

The best swells of the year

WINTER

December - February

Holiday parades & markets

Encinitas and Carlsbad villages

Carlsbad Marathon

January's big regional draw

Whale season

Mild escapes, a high year-round baseline

HOSPITALITY TRENDS

79%

of luxury travelers value experiences
over material things

~\$50B

projected boutique-hotel market by 2034,
growing about 7% a year

40%+

of boutique-hotel revenue now booked direct

The growth in coastal hospitality is not in large resorts. It is in small, design-led independents with a point of view, in residential-style rooms that suit longer stays, and in trips built around experience, food, wellness, surf, and a real sense of place, rather than a list of amenities.

Guests reward understated, authentic luxury, and they increasingly find and book these places directly. La Costa Hotel is built squarely for where the market is going.

SUPPLY & DEMAND

~12

lodging properties, nearly all inns, motels, and budget chains

1

upscale resort (Alila Marea); no design-led hotel

+4%

San Diego RevPAR growth, 2024, on limited supply

Demand is strong and supply is tight. Revenue per available room across San Diego grew more than four percent in 2024 on the back of limited new supply, and the coastal stretch of North County is among the hardest places to build, held back by zoning, coastal regulation, and cost.

Encinitas has only a dozen or so lodging properties, and nearly all are small inns, motels, and budget chains. The upscale, design-led tier is essentially one resort. Little new product is coming, so a small, well-positioned property can command rate without competing on volume.

Closest set: Alila Marea, Twelve Senses, Surfhouse.

Source: Property count from hotel listings (TripAdvisor, Hopper, Expedia); San Diego RevPAR from STR-based market reports, 2024.

THE MARKET WHITESPACE

The STR competitive set is large, upscale resorts. The upscale-boutique corner, at intimate scale, is open.



Room counts in parentheses, per the STR competitive set. *Hotel Joaquin is a Laguna style comp; Surfhouse, Leucadia Beach Inn, Twelve Senses, and the Carlsbad family resorts shown for context.

PART
THREE

POSITIONING

*Where we stand and who it is
for.*

THE
POSITIONING

A coastal hotel in Leucadia that lives like a home.

Made to be lived in, not just checked into.

A neighborhood of design homes gathered around a destination
restaurant.

DESIGN

Calm and considered. Quality
through restraint, not flash.

EASE

The space and privacy of a home, with
the ease of a hotel.

PLACE

Of Leucadia and the coast. Open to
locals, surf culture kept authentic.

COMPETITIVE ADVANTAGES

Against a set of large, upscale resorts, La Costa Hotel wins on what scale cannot buy: intimacy, design, a real restaurant, and a sense of place. These are structural advantages, hard to replicate in a market where little new product gets built.

Intimate scale

Seventeen keys, personal and high-touch, where the set runs 40 to 130 rooms and competes on volume.

Design-led homes

Residential rooms made to be lived in, built for the longer stays large resorts cannot serve.

A destination restaurant

The only one in the set open to locals, a second revenue engine and instant local credibility.

Open and of the place

A community-facing cultural hub, not a sealed resort, and new design-led product where little gets built.

THE GUEST PROFILE

Four archetypes, one product. The range of homes lets a single property hold all of them.

The Design Traveler

Design-minded and coastal. Here for the architecture, the food, and the quiet.

PROOF OF INTEREST

Alila Marea, the design-led resort next door in Encinitas, commands a premium rate.

2 TO 4 NIGHTS

The Long-Stay Creative

Remote professional or creative. Wants the comfort of a home with the ease of a hotel.

PROOF OF INTEREST

San Diego's average stay is now nearly four nights, a full night longer than pre-pandemic (SDTA).

4 TO 10 NIGHTS

The Local Regular

A neighbor drawn first by the restaurant and pool, who becomes a regular and an advocate.

PROOF OF INTEREST

San Diego's Lafayette shows a restaurant-led hotel can become a local institution.

REPEAT VISITS

The Modern Family

Design-conscious parents who travel with kids but will not lower the bar.

PROOF OF INTEREST

Nearby family resorts like Park Hyatt Aviara stay busy on design-minded families.

WEEKENDS & BREAKS

THE INSPIRATION SET

Case studies from around the world that shape the product and the tone, translated into a relaxed, surf-town register for Leucadia.



Soho Farmhouse

England · the product model

Homes set around a destination restaurant, with the grounds as much the experience as the rooms. We take that model and reconsider the membership.



Ett Hem

Sweden · the feeling

Designed so fully to feel like a home that it never reads as a hotel. We take that feeling, rooms made to be lived in.



Hotel Wren

California · the tone

A small, design-led house with kitchens in the rooms and an easy, unforced calm. We take the relaxed, surf-town register to this execution.

THE INSPIRATION SET

Case studies from around the world that shape the product and the tone, translated into a relaxed, surf-town register for Leucadia.



The Sea Ranch Lodge

California · the product model

Scale, coastal positioning, and emphasis on design over volume. Designed around a strong sense of place — raw architecture, minimal interiors, and an intentional relationship to landscape that makes the setting itself the amenity.



Nine Orchard

New York · the feeling

Feels more like a private residence than a hotel — layered, idiosyncratic, and rooted in a specific cultural moment without performing it. It's the feeling of being let in on something rather than checked in somewhere.



The Inn at Mattei's Tavern

California · the tone

Unhurried and unpretentious — the tone is true to its environment. Guests are welcomed with a laid back kind of hospitality that feels like it was already happening before you arrived.

THE PRICING POSITION

Value-oriented luxury: more than a rental, below the large resorts, and priced with intent.



SCARCITY

17 keys protect rate through the year.

THE RESTAURANT

A second engine and a reason to come.

DESIGN & STAYS

Longer stays and direct, returning guests

PART
FOUR

SALES + MARKETING

*Who we reach and how we fill the
house.*

REVENUE STRATEGY

The revenue strategy is to own the guest relationship and price for rate over volume, then expand presence and stack the books across every period of the year. Two books of business do the work: transient demand, won through brand and distribution, carries weekends and peak season; group demand, won through proactive sales, fills midweek and the shoulder months. Layered with food and beverage, events, and retail, they build a property whose revenue holds steady through the year.

RATE OVER VOLUME

Protect ADR and favor direct bookings over distributed ones.

TWO BOOKS, YEAR-ROUND

Transient fills weekends and peaks; group fills midweek and the shoulders.

BEYOND ROOMS

Food and beverage, events, and retail as added revenue engines.

TARGET DEMOGRAPHIC

We target two books of business to keep the calendar full in every period: transient demand carries weekends and peak season, while group demand fills midweek and the shoulder months. Together, the two stack the books year-round.

PART 1 · TRANSIENT

Design-conscious coastal leisure

Affluent couples and singles from the SoCal drive markets; value design, privacy, and service. 2 to 4 nights.

Extended-stay professionals & creatives

Remote workers wanting residential comfort, wellness, and local dining. 4 to 10 nights.

Restaurant-led discovery

Locals and regional visitors drawn first by the food. 1 to 2 nights.

PART 2 · GROUP

Social & wedding buyouts

Exclusive use for weddings, family reunions, and celebrations.

Production room blocks

Film, TV, and commercial crews, photo teams, and event staff.

Corporate offsites & retreats

Team-building, leadership retreats, planning sessions, and meetings.

DISTRIBUTION STRATEGY

Prioritize direct bookings, using a select set of third-party channels to build awareness rather than fill the house. Given the small scale and boutique positioning, the focus is on maximizing ADR and attracting brand-aligned guests over broad occupancy. This is how transient demand is won.

CHANNELS

Direct website bookings

OTAs (Booking.com, Expedia)

Leisure consortia (Mr & Mrs Smith, AMEX Capital One)

Corporate consortia & negotiated rates (ABC, Intrenova, LNRs)

Group and buyout Domestic feeders and longer-stay international

FOCUS

Maximize ADR over occupancy

Dynamic pricing around social events

Direct growth through brand storytelling and packages

Advisor, influencer, and wellness partnerships

Key demand drivers: the restaurant, the design-driven experience, and the Leucadia location.

DIRECT BOOKING & MARKETING

Transient demand is generated and captured through our own channels. The goal is to drive guests to book direct, through a strong website, an engaged social presence, and an owned audience, so the property markets to its guests first and leans less on third-party channels.

The website

A fast, beautiful, performance-optimized site and booking engine, with a best-rate guarantee and a low-friction path to book.

Social & content

An Instagram-led presence and a steady content program that drive discovery, brand equity, and buzz.

CRM & email

An owned audience captured from the site, the restaurant, the shop, and a founders list, nurtured to book and re-book direct.

Direct-only perks

Upgrades, late checkout, and credits that pull demand off the OTAs and reward booking direct.

GROUP SALES STRATEGY

Group is a different business from transient, and a proactive sales effort rather than a marketing one. It commands higher ADR, secures a consistent base of occupancy through the year, and at seventeen keys a single group can take the whole property. Price social events dynamically, secure a consistent base of group business, and strengthen proposal packages that grow ancillary spend across F&B, venue rental, and add-ons.

Social & wedding buyouts

Weddings and reunions, plus engagements, micro-weddings, and milestone birthdays.

Production room blocks

Film, TV, and commercial crews, photo teams, and event staff during a project.

Corporate offsites & retreats

Team-building, retreats, planning, training, workshops, and meetings.

Lifestyle & creative buyouts

Wellness retreats, music and arts communities, and boutique group buyouts.

PARTNERSHIP OPPORTUNITIES

The strongest partnerships are experiences, not logos. We will focus on collaborations that are integrated into the guest experience, from coffee and wellness to surf, retail, and in-room amenities. The goal is to create partnerships that feel native to the brand, strengthen the overall stay, and generate incremental revenue. By aligning with brands that already carry cultural relevance and credibility, we can build on existing equity, expand awareness, and introduce new audiences to the property from day one.

The bath line

A house bath and body line made with a natural-ingredients maker and built for after the surf. In every room, the heart of an outdoor-shower ritual, and sold in the shop to take home.

The coffee

A coffee program worth waking up for, made with a respected roaster, poured at the cafe and bagged to take with you.

The surf

A surf offering run with a respected local shaper, with boards, lessons, dawn sessions, and a sauna-and-plunge recovery ritual to follow.

PR & INFLUENCER

The opening is treated as a campaign that begins long before the doors do. The construction period, the food, and the founders become the story, building a waitlist and real anticipation ahead of launch. Press and a small group of well-chosen voices are staged across the build, weighted toward design and the California coast rather than raw reach, so the property opens with an audience already in place.



LOCAL COMMUNITY

The strongest local strategy is to be genuinely open, a place the neighborhood uses rather than a club it is kept out of. Three things make La Costa Hotel a cultural hub for Leucadia and earn it a real place in local life. A light membership could layer on later, but the openness is the point.

The restaurant & cafe

Public and local-first, the daily front door, a place neighbors come to use as their own.

The shop

Local makers' goods alongside the house line, adding retail revenue and real local credibility.

The programming

Maker's markets, music, yoga, and surf, open to the neighborhood and not just to guests.

PART
FIVE

THE EXPERIENCE

*The service and the life of the
place.*

DINING – MANNA & AMAGAI

THE CHEF



Andrew Bachelier is one of North County San Diego's most decorated chefs — trained at Addison, credited with launching Campfire into national recognition, and connected to Jeune et Jolie, which earned a Michelin star the year after his departure. Atelier Manna, his Leucadia flagship, earned a Michelin Bib Gourmand and has become a destination in its own right. He is local, proven, and exactly the kind of culinary voice that gives the Las Costa hotel immediate credibility.

THE MENU

things to eat

note: our menu changes frequently due to seasonal availability, items listed may not reflect most current offerings

torrija - spanish style french toast 27

thick-cut sourdough, strawberry, rhubarb, short cake granola, long pepper chantrelly

breakfast sandwich 18

croissant, egg, smoked ham, herb cheese, avocado, arugula, green garlic

ancient grains porridge 32

jolt's tears, confit mushrooms, chicken skin togarashi, pickled ajitama egg

vadouvan lamb 29

tomato farro, golden raisin tabbouleh, cucumber yogurt, baklagemeash

mussels escabeche 22

salt spring mussels, carrot tahini, sage hill fenestr kinchi, harissa oil, toasted miché

manna bowl (v) 22

salmona miso, farro, citrus, avocado, quinoa furikake, tahini chili-lime vinaigrette

pistachio bread pudding 16

macapone cômé, fraiche, lavender honey, black sesame, seasonal accompaniments

çilbar - turkish eggs 23

soft poached eggs, herbed yogurt, chili garlic butter, torn herbs, toast

greek yogurt panna cotta (gf) 13

pink guava tapiooca, seasonal accompaniments

vitality tonics

sienna 12

gravy smith apple, japanese barley, marigold miso, citrus

jasper 12 [milk punch]

steady state coffee, cherry, chaga, vanilla, rose vinegar, lemon

goldenrod 12

clarified cucumber, single source turmeric, honey, long pepper, acids

zanzibar 11 [force carbonated]

cold brew, red ginseng, cinnamon, tuba holi basil, acids + c02

veracruz 11 [force carbonated]

dragonfruit, hogo santa, toasted juniper berry, ginger, acids + c02



Manna's menu is hyper-seasonal and market-driven, and wellness-oriented rotating with what Bachelier and his team find at local farms — globally influenced but rooted in the produce and producers of North County San Diego. The ethos is one of intention without pretension.

EVENTS

La Costa sits at the intersection of a mature wedding and corporate retreat market and one of the most exciting culinary corridors in Southern California. This property can command premium buyout rates for intimate weddings, elopements, and executive offsites — event types where F&B is not a line item but the centerpiece of the experience.



With a chef partner of Bachelier's caliber within driving distance, there is a real opportunity to position catering not as a hotel amenity but as a genuine culinary program, one that differentiates the property and supports rate integrity across both rooms and events.



RESTAURANT POSITIONING

The restaurant is conceived as a destination in its own right, not a hotel amenity, the kind of place people drive to for dinner whether or not they are staying the night. Led by a chef with real standing, it serves the coast, seafood-forward, vegetable-driven, and unfussy, with a bar that holds its own. Done well, it becomes the property's center of gravity and its most powerful marketing.

Open to all

Public and local-first, a destination in its own right, not just a hotel amenity.

The front door

It draws locals in and earns the property a name before the first guest checks in.

Beyond rooms

Revenue and gravity that rooms alone cannot provide.

REVENUE OPPORTUNITY

At seventeen keys, rooms alone will not carry the property; the business runs on several engines at once. The restaurant and bar earn every day from guests and locals alike, events and full buyouts add high-value demand, and the shop, programming, and memberships layer in recurring income. The aim is a property where food and beverage, events, and retail together carry a meaningful share of revenue and steady it across the seasons.

Rooms

Seventeen keys at a premium, boutique rate.

Food & beverage

Daily covers from breakfast to dinner, with a bar into the evening.

Events & buyouts

Weddings, productions, and corporate offsites.

Retail & programming

The shop, memberships, and ticketed events.

PROGRAMMING

Programming gives people a reason to return and a reason to belong, and it draws on what this stretch of coast does naturally. The calendar runs from dawn surf and the recovery that follows, through the pool and the workshops of the afternoon, to long dinners after dark. Some is open to all and some held for guests; kept small and well made, it becomes the social life of the property rather than a list of activities.

DAWN

Surf sessions with a local shaper

Run-and-swim club along the bluffs

MORNING

Post-surf sauna and cold plunge

Contrast recovery and bodywork

Yoga and breathwork

AFTERNOON

Pool and poolside bar

Tide-pool walks

Maker sessions

EVENING

Long-table dinners

Guest-chef nights

Music on the lawn

POOL & AMENITIES

The pool and the ground around it are the daytime heart of the property, social by day and quiet by evening, and they deserve to be designed and programmed as carefully as any room. A poolside menu and bar service make the deck a daypart of its own, while the addition of a sauna, cold plunge, and the recovery that follows a morning in the water extend the wellness offer. The landscape does the rest, native planting, warm materials, and shade that make the commons a place to spend the day.

THE POOL & DECK

Pool and poolside bar
Cabanas and

loungers Fire pits at

dusk

RECOVERY & WELLNESS

Sauna and cold plunge
Contrast therapy after surf

Bodywork and treatments

THE SETTING

Outdoor shower and cruisers
Native planting and

shade Quiet by evening

THE SERVICE

Service is where a small property wins. With seventeen keys and an open restaurant, the team can know guests by name, remember how they take their coffee, and anticipate the next thing before it is asked for. The welcome is coastal and tactile, and the tone is warm, unstuffy, generous with small gestures, and genuinely glad to see children.

Beach bag & towel

Waiting in the room

The day's tide chart

So you catch the good hours

Reef-safe sunscreen

Ready to go

Cruisers & a board

By the door

Cold brew, citrus, sourdough

Fresh at the door each morning

Known by name

From the first hello

PART
SIX

LOOKING AHEAD

The opportunities and next steps.

PRO FORMA

--DRAFT--
CONFIDENTIAL

La COSTA HOTEL																													
Encinitas, CA																													
DEVELOPMENT SUMMARY				FORECASTED P&L		Jun-29		Nov-45		PROJECT LEVEL RETURNS		UNLEVERED		LEVERED															
Project Name				La Costa Hotel		Occupancy		70.0%		77.5%		IRR		11.9%		15.8%													
Address				516 La Costa Ave, Encinitas		ADR		\$597		\$959		Equity Multiple		4.8x		8.2x													
Gross SF & NRSF				12,334 GSF		Rev/PAR		5,750		\$743		Return on Cost		8.7%		7.8%													
Hotel Units				17 Units		Revenue		Rooms		60%		Distributions		\$107,293,986		\$71,391,749													
Parking Spots				25 Spots		Rooms		60%		\$2,593,754		Equity Required		\$22,250,336		\$8,677,460													
Return on Cost & Levered IRR				7.8%		Restaurant Bar		35%		\$1,497,600		Net Profit		\$85,043,649		\$62,714,289													
Room Service				0%		Room Service		0%		\$9,034		WATERFALL RETURNS		LB		ALBERTO		CALHOUN											
Events/Weddings/Corporate				5%		Events/Weddings/Corporate		5%		\$225,862		IRR		16.7%		15.7%		15.7%											
Total Revenue				100%		\$4,326,251		\$7,900,237		Expenses		Equity Multiple		10.1x		8.0x		8.0x											
Month 1				Dec-25		Rooms		15%		\$648,439		Distributions		11,062,178		10,170,772		50,158,800											
Start Construction				6 Months		Restaurant Bar		12%		\$519,120		Equity Invested		1,100,000		1,277,460		6,300,000											
Construction Complete				24 Months		Room Service		0%		\$1,342		Net Profit		\$9,962,178		\$8,893,312		\$43,858,800											
Hotel Opens				31 Months		Total Departmental Expenses		27%		\$1,168,901		% of Total		16%		14%		70%											
Stabilization				12 Months		Gross Operating Income		73%		\$3,157,350		UNIT MIX		UNITS		ADR		Rev/PAR											
Refinance				Months		Undistributed Operating Expenses		G&A/Staffing		7%		Type A		8		\$462		\$323											
20 Year Term				240 Months		G&A/Staffing		7%		\$309,000		Type B		4		\$770		\$539											
Sources				% TOTAL \$/UNIT		I/T Systems		0%		\$18,446		Type C		5		\$616		\$431											
LB				13%		\$1,100,000		\$65,000		Sales & Marketing		2%		\$103,000		\$165,285		Total		17		\$580		\$406					
Alberto				15%		\$1,277,460		\$75,000		Repairs & Maintenance		2%		\$206,000		\$330,570		Profit Summary		TOTAL		\$/UNIT							
Highway 101 LLC				73%		\$6,300,000		\$371,000		Utilities		5%		\$206,000		\$330,570		Net Disposition Value		\$59,208,330		\$3,480,000							
Total Equity				35%		\$8,677,460		\$510,000		Total Undistributed Expenses		19%		\$842,446		\$1,351,879		Net Operating Profit		\$49,624,733		\$2,920,000							
Construction Loan				65%		\$16,120,000		\$948,000		Gross Operating Profit		54%		\$2,314,904		\$4,672,616		Asset Management Fee		(\$1,538,077)		(\$90,000)							
Total Sources				100%		\$24,797,460		\$1,459,000		Fixed Operating Expenses		Insurance		1%		\$51,500		Unlevered Development Costs		(\$22,250,336)		(\$1,310,000)							
Uses				PSF TOTAL \$/UNIT		Acquisition		\$437		\$5,395,324		\$317,000		Hard Costs		\$1,042		Acquisition Financing		(\$2,547,123)		(\$150,000)							
Soft Costs				\$325		\$4,003,176		\$235,000		Management Fee		10%		\$259,375		\$460,817		Construction Financing		(\$19,782,237)		(\$1,160,000)							
Financing Costs				\$207		\$2,547,123		\$150,000		Total Undistributed Expenses		9%		\$385,817		\$663,718		Permanent Financing		\$62,714,289		\$3,690,000							
Total Uses				\$2,010		\$24,797,460		\$1,459,000		Net Operating Income		45%		\$1,929,087		\$4,008,897		Levered Profit											
FINANCING				ACQ. LOAN CONSTR. PERMANENT		Loan Sizing		0% LTC 65% LTC 82.5% LTV		Debt Service		37%		\$1,610,495		\$4,424,030		CF SPLIT		PROJECT CF		LB		ALBERTO		CALHOUN			
Loan Sizing				0% LTC 65% LTC 82.5% LTV		Loan Amount		\$0		\$16,120,000		\$18,562,500		Cash on Cash		18.6%		21.0%		Investment >		(\$8,677,460)		(\$1,100,000)		(\$1,277,460)		(\$6,300,000)	
Interest Rate				9.00% Rate 8.00% Rate 7.00% Rate		I/O Period		Full Term		36 Months		Cap Rate		6.50%		6.50%		Year 3		\$133,694		\$16,948		\$19,682		\$97,064			
Amortization				N/A		N/A		30 Year		DSCR		1.30		2.71		Year 4		\$3,425,607		\$434,248		\$504,304		\$2,487,056					
Annual Payment				-		(\$1,289,600)		(\$1,481,961)		Per Unit		\$3,465,000		\$7,950,000		Year 5		\$647,830		\$82,122		\$95,371		\$470,337					
Debt Coverage (DSCR)				1.50x		1.30x		Per Unit		\$1,668,000		\$3,180,000		Year 6		\$818,169		\$103,715		\$120,447		\$594,006							
Building Type 1				1,679		4 Units		\$13,860,000		\$31,800,000		Year 7		\$921,247		\$116,782		\$135,622		\$668,843									
Building Type 2				641		5 Units		\$8,340,000		\$15,900,000		Year 8		\$952,134		\$120,698		\$140,169		\$691,268									
Restaurant				5.0x		1 Unit		\$7,500,000		\$14,000,000		Year 9		\$1,045,021		\$132,472		\$153,844		\$758,705									
Building Type 1				Per Unit		\$3,465,000		\$7,950,000		Year 10		\$1,141,490		\$144,701		\$168,045		\$828,742											
Building Type 2				Per Unit		\$1,668,000		\$3,180,000		Building Type 1		PSF		\$2,063		\$4,734													
Building Type 1				PSF		\$2,063		\$4,734		Building Type 2		PSF		\$2,601		\$4,958													
Building Type 2				PSF		\$2,601		\$4,958		VALUE PER KEY (W/O REST)				\$1,310,000		\$2,810,000													

INVESTMENT SUMMARY

17-KEY BOUTIQUE HOTEL + RESTAURANT

La Costa Hotel • 516 La Costa Ave, Leucadia/Encinitas, CA

15.8%

LEVERED IRR

8.2x

LEVERED EQUITY MULTIPLE

\$8.68M

TOTAL EQUITY REQUIRED

7.8%

RETURN ON COST (STABILIZED)

PROJECT LEVEL RETURNS

Metric	Unlevered	Levered
IRR	11.9%	15.8%
Equity Multiple	4.8x	8.2x
Return on Cost	8.7%	7.8%

PROJECT COSTS — USES

Cost Category	Total	\$ / Unit
Acquisition	\$5,395,324	\$317,000
Hard Costs	\$12,851,837	\$756,000
Soft Costs	\$4,003,176	\$235,000
Financing Costs	\$2,547,123	\$150,000
Total Uses	\$24,797,460	\$1,459,000

REVENUE SUMMARY

Metric	Stabilized	Exit
Occupancy	70.0%	77.5%
ADR / RevPAR	\$597 / \$418	\$958 / \$743
Rooms Revenue	\$2,593,754	\$4,608,166
Restaurant & Bar	\$1,497,600	\$2,804,977
Total Revenue	\$4,326,251	\$7,900,237

OPERATING EXPENSES & NOI

Metric	Stabilized	Exit
Departmental Expenses	\$1,168,901	\$1,875,742
Undistributed Expenses	\$842,446	\$1,351,879
Fixed Operating Expenses	\$385,817	\$663,718
Net Operating Income	\$1,929,087	\$4,008,897
Return on Cost	7.8%	16.2%

Source: La Costa Hotel proforma summary — figures reflect current underwriting and are subject to change.

RESTAURANT OPERATIONS

3-YEAR FINANCIAL SUMMARY

+54%

Net revenue growth, 2026 to 2028

\$3.8M → \$5.9M

4.9x

EBITDA growth over the 3-year plan

\$186K → \$904K

15.4%

Year 3 EBITDA margin, up from 4.9%

+10.5 pts of margin expansion

+24%

Net revenue CAGR (2026–28)

76,920 → 108,295 annual covers

Restaurant covers and average checks scale steadily across daypart from 2026 through 2028, while prime cost (cost of sales plus labor) falls from 59.0% to 53.2% of net revenue as fixed costs are absorbed by volume. The result is EBITDA growing nearly five-fold, from \$186K in Year 1 to \$904K by Year 3, with margin expanding from 4.9% to 15.4% as the restaurant matures toward stabilization.

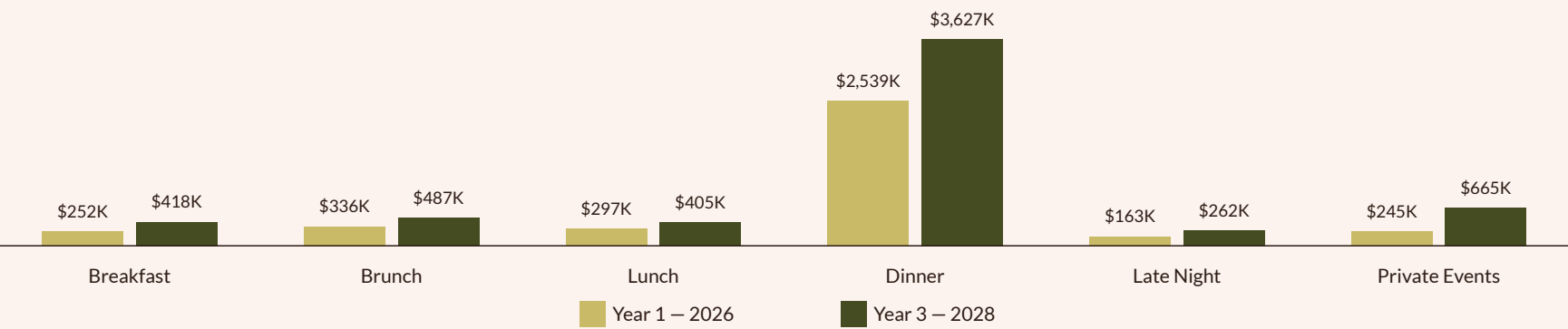
3-YEAR P&L SUMMARY

Restaurant — net revenue through EBITDA, FY2026–28

	YEAR 1 – 2026	YEAR 2 – 2027	YEAR 3 – 2028
Total Net Revenue	\$3,814,584	\$4,951,370	\$5,890,748
Cost of Sales	(\$1,031,051)	(\$1,264,959)	(\$1,448,536)
Gross Profit	\$2,783,533	\$3,686,411	\$4,442,212
Total Labor	(\$1,221,427)	(\$1,483,912)	(\$1,686,855)
Prime Cost (% of Net Rev.)	59.1%	55.5%	53.2%
Operating Expenses			
Controllable Expenses	(\$350,942)	(\$408,488)	(\$468,314)
Marketing & Advertising	(\$209,802)	(\$210,433)	(\$206,176)
Occupancy / Rent	(\$350,838)	(\$445,355)	(\$552,287)
Insurance	(\$206,394)	(\$259,651)	(\$300,467)
Compliance (License & Permits)	(\$12,000)	(\$12,500)	(\$13,000)
Technology / IT	(\$40,000)	(\$29,000)	(\$30,000)
Other / Fixed (Maintenance, Admin, CC Fees)	(\$205,938)	(\$246,041)	(\$280,722)
Total Operating Expenses	(\$1,375,913)	(\$1,611,468)	(\$1,850,968)
EBITDA	\$186,193	\$591,030	\$904,389
EBITDA Margin	4.9%	11.9%	15.3%

REVENUE MIX BY DAYPART

Dinner anchors the business; private events grow fastest, 2026–28



DAYPART	Y1 COVERS	Y1 AVG CHECK	Y1 REVENUE	Y2 REVENUE	Y3 COVERS	Y3 AVG CHECK	Y3 REVENUE	3-YR GROWTH
Breakfast	10,950	\$23.00	\$251,850	\$339,815	16,060	\$26.00	\$417,560	+66%
Brunch	8,840	\$38.00	\$335,920	\$410,800	11,960	\$40.75	\$487,370	+45%
Lunch	9,135	\$32.50	\$296,888	\$347,130	11,745	\$34.50	\$405,203	+36%
Dinner	40,150	\$63.25	\$2,539,488	\$3,190,556	54,750	\$66.25	\$3,627,188	+43%
Late Night	5,220	\$31.25	\$163,125	\$213,694	7,830	\$33.50	\$262,305	+61%
Private Events	2,625	\$82.00	\$245,250	\$449,375	5,950	\$92.50	\$665,125	+171%
Subtotal — All Dayparts	76,920	—	\$3,832,520	\$4,951,370	108,295	—	\$5,864,750	+53%

PRO FORMA

MANNA/AMAGI				
Annual Operating Projection - Summary				
First Full Year of Operations				
	Monthly Average	%	Annual	%
SALES				
Food	\$272,301	72.83%	\$3,267,607	72.83%
Beer	\$3,582	0.96%	\$42,986	0.96%
Wine	\$31,777	8.50%	\$381,324	8.50%
Liquor	\$55,903	14.95%	\$670,842	14.95%
N/A Beverage	\$10,307	2.76%	\$123,689	2.76%
Merchandise	\$0	0.00%	\$0	0.00%
TOTAL SALES	\$373,871	100.00%	\$4,486,448	100.00%
COST OF SALES				
TOTAL FOOD	\$87,136	32.00%	\$1,045,634	32.00%
TOTAL BEVERAGE COST	\$21,420	23.47%	\$257,038	23.47%
TOTAL COST OF SALES	\$108,556	29.04%	\$1,302,673	29.04%
TOTAL GROSS MARGIN	\$265,315	70.96%	\$3,183,775	70.96%
TOTAL EMPLOYEE EXPENSE	\$158,380	42.36%	\$1,900,562	42.36%
PRIME COST	\$266,936	71.40%	\$3,203,234	71.40%
TOTAL COMPS EXPENSE	\$11,216	3.00%	\$134,593	3.00%
TOTAL ADMINISTRATIVE EXPENSE	\$8,973	2.40%	\$107,675	2.40%
TOTAL FACILITIES EXPENSES	\$12,338	3.30%	\$148,053	3.30%
TOTAL UTILITIES	\$7,851	2.10%	\$94,215	2.10%
TOTAL MARKETING EXPENSE	\$6,917	1.85%	\$82,999	1.85%
TOTAL OPERATING EXPENSE	\$314,231	84.05%	\$3,770,770	84.05%
FIXED EXPENSES				
TOTAL RENT EXPENSE	\$0	0.00%	\$0	0.00%
TOTAL CORP. EXPENSES	\$27,250	7.29%	\$327,004	7.29%
TOTAL FIXED EXPENSE	\$27,250	7.29%	\$327,004	7.29%
EBITDA	\$32,389	8.66%	\$388,674	8.66%
CA Income Tax-Corp	\$200	0.05%	\$2,400	0.05%
Depreciation	\$14,047	3.76%	\$168,569	3.76%
Interest Expense	\$0	0.00%	\$0	0.00%
Interest Income	\$0	0.00%	\$0	0.00%
NET PROFIT/(LOSS)	\$18,142	4.85%	\$217,705	4.85%

RESTAURANT OPERATIONS PRO FORMA

Manna / Amagi Restaurant — Sources & Uses of Capital

USE OF FUNDS	AMOUNT	% TOTAL
Land and Building	\$0	0%
Leasehold Improvements	\$902,000	44.1%
Kitchen / Bar Equipment	\$450,000	22.0%
Furniture, Fixtures & Finishes	\$191,000	9.3%
Interior Finishes & Equipment	\$140,000	6.8%
Pre-Opening Expenses	\$140,712	6.9%
Organizational & Development	\$98,500	4.8%
Working Capital & Contingency	\$100,000	4.9%
Professional Services	\$18,000	0.9%
Exterior Finishes & Equipment	\$5,000	0.2%
TOTAL PROJECT COST	\$2,045,212	100.0%

\$818

Project Cost / SF

\$18,593

Project Cost / Seat

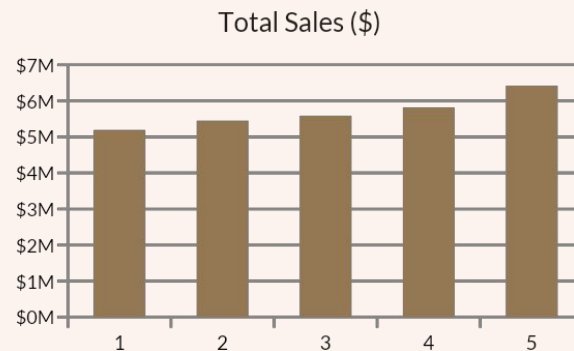
Largest cost drivers are leasehold improvements (44%) and kitchen/bar equipment (22%), reflecting a full back-of-house build for a dual-service, high-covers concept within the hotel's ground-floor F&B footprint.

RESTAURANT OPERATIONS PRO FORMA

10-Year Operating Pro Forma — Summary Years

	TOTAL SALES	EBITDA	EBITDA %	NET PROFIT	NET %
Year 1	\$5,190,754	\$592,598	11.4%	\$407,619	7.9%
Year 2	\$5,450,292	\$448,820	8.2%	\$185,453	3.4%
Year 3	\$5,586,549	\$458,333	8.2%	\$245,109	4.4%
Year 5	\$5,812,246	\$474,717	8.2%	\$322,776	5.6%
Year 10	\$6,417,189	\$520,586	8.1%	\$432,355	6.7%

Revenue growth assumes 5% in Year 2 and 2.5% in Year 3, stepping down to a steady 2.0% annually thereafter.



BREAK-EVEN ANNUAL SALES

\$2,751,283

Year 1 projected sales run ~1.9× above break-even

RESTAURANT OPERATIONS PRO FORMA

First Full Year of Operations — Sales & Gross Margin

LINE ITEM	MONTHLY	ANNUAL	% SALES
SALES			
Food	\$346,463	\$4,157,553	80.1%
Liquor	\$42,814	\$513,770	9.9%
Wine	\$30,653	\$367,839	7.1%
N/A Beverage	\$9,162	\$109,950	2.1%
Beer	\$3,470	\$41,642	0.8%
TOTAL SALES	\$432,563	\$5,190,754	100.0%
COST OF SALES			
Total Food Cost	\$107,403	\$1,288,842	31.0%
Total Beverage Cost	\$18,406	\$220,877	23.9%
TOTAL COST OF SALES	\$125,810	\$1,509,719	29.1%
GROSS MARGIN	\$306,753	\$3,681,036	70.9%
LABOR			
Total Employee Expense	\$177,477	\$2,129,722	41.0%
PRIME COST	\$303,287	\$3,639,441	70.1%

KEY RATIOS

\$47,189

Sales / Seat

\$2,076

Sales / SF

2.54x

Sales-to-Investment

\$574,197

Cash Flow Pre-Tax

RESTAURANT OPERATIONS PRO FORMA

First Full Year of Operations — Operating Expenses & EBITDA

LINE ITEM	MONTHLY	ANNUAL	% SALES
OPERATING EXPENSES			
Comps	\$12,977	\$155,723	3.0%
Administrative	\$10,382	\$124,578	2.4%
Facilities	\$14,275	\$171,295	3.3%
Utilities	\$9,084	\$109,006	2.1%
Marketing	\$8,002	\$96,029	1.8%
TOTAL OPERATING EXPENSE	\$358,006	\$4,296,071	82.8%
FIXED EXPENSES			
Corporate & Rent Expense	\$26,507	\$318,086	6.1%
EBITDA	\$48,050	\$576,598	11.1%
Depreciation	\$15,215	\$182,578	3.5%
CA Income Tax	\$200	\$2,400	0.1%
NET PROFIT	\$32,635	\$391,619	7.5%

EBITDA MARGIN

11.1%

\$576,598 annually

NET PROFIT MARGIN

7.5%

\$391,619 annually

RESTAURANT OPERATIONS PRO FORMA

Cost, Labor & Depreciation Basis Driving the Pro Forma

COST OF SALES %

Category	%
Food Cost %	31.0%
Liquor Cost %	19.0%
Beer Cost %	25.0%
Wine Cost %	25.0%

Applied against each sales category to derive total cost of sales.

MANAGEMENT & LABOR

Role / Category	Annual \$
General Manager	\$110,000
AM Concept Chef de Cuisine	\$90,000
Bar Manager / AGM	\$90,000
PM Executive Sous Chef	\$75,000
Sales / Events Manager	\$90,000
Total Management	\$455,000
Hourly Labor (HOH+FOH)	\$1,311,232
Special Events Labor	\$97,344
Total Gross Payroll	\$1,863,576 (35.9%)

DEPRECIATION SCHEDULE

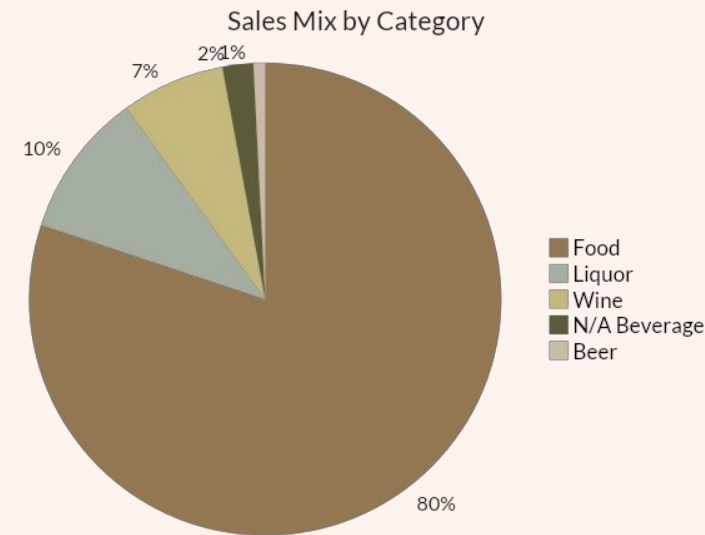
Asset Class	Basis	Yrs
Leasehold Improvements	\$1,060,000	15
Furniture & Equipment	\$717,500	7
Pre-Opening & Lease Acquisition	\$205,712	15

\$182,578 / yr

Total Year-1 D&A (3.5% of sales)

RESTAURANT OPERATIONS PRO FORMA

Year 1 Sales Mix & Cost Structure



29.1%

Cost of Sales

70.9%

Gross Margin

40.7%

Labor Cost

70.1%

Prime Cost

\$47,189

SALES / SEAT (ANNUAL)

\$2,076

SALES / SQUARE FOOT

RESTAURANT OPERATIONS PRO FORMA

Class A / Investment Partner Economics

EQUITY CAPITALIZATION



Operating Partner — \$1,485,212 (72.6%)

Investment Partner — \$560,000 (27.4%)

Cash flow splits 60.0% / 40.0% (Investment / Operating Partner) prior to payback, then shifts to 20.0% / 80.0% once the Investment Partner recoups 100% of capital — projected at 2.5 years.

2.5 yrs

Payback
Period

27.7%

5-Yr Avg ROI

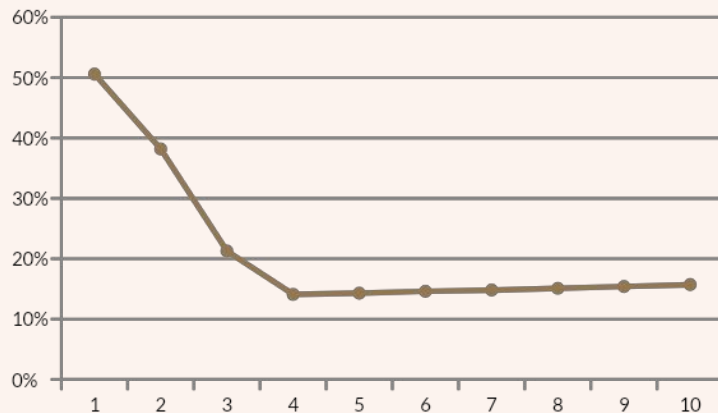
21.4%

10-Yr Avg ROI

114.0%

10-Yr Total
ROI

Investment Partner — Annual ROI



Elevated early-year returns reflect the 60% pre-payback distribution share; returns settle to a steady-state range once cash flow reverts to the post-payback 20% share in Year 4.

CBRE REPORT

Overview

Based on a CBRE Capital Markets report, hotels will also present attractive investment opportunities in 2026, with fundamentals improving, as new supply diminishes and RevPAR improves. Recovery in fundamentals will be uneven and more focused around high-end demand.

High-end and lifestyle assets, the segment La Costa Hotel would land, are positioned relatively well. Differentiated asset vs. large luxury resort which is not a direct competitive risk.

Operational prowess will be especially important in a business where controlling costs is complex and total returns are more dependent on income. Investors and lenders view operational expertise as a key underwriting criterion: deals backed by experienced operators or vertically integrated sponsors are attracting better terms.

Why La Costa Hotel Wins

The La Costa Hotel is entering a proven luxury hospitality corridor supported by strong and improving market fundamentals across both the San Diego North County competitive set and a curated luxury benchmark of high-performing destination resorts.

Market performance continues to strengthen, with 2026 YTD occupancy reaching 66.1% in the San Diego North County comp set, up from 61.3% in 2025, while ADR has increased to \$555, driving RevPAR growth to \$367. The curated luxury benchmark reflects even stronger fundamentals, with 66.6% occupancy, \$620 ADR, and \$413 RevPAR, reinforcing sustained pricing power and resilient demand in the upper-upscale and luxury segment.

The La Costa Hotel's underwriting is strategically positioned within this market context. Stabilized room assumptions of approximately \$707 ADR and \$323 RevPAR reflect a premium luxury positioning while maintaining conservative occupancy assumptions relative to the market, creating a balanced path to stabilization without reliance on outsized penetration.

Beyond room revenue, the project benefits from diversified income streams including Food & Beverage, social and corporate events, memberships, and ancillary services. Competitive set data shows total guest spend per occupied room increasing to approximately \$1,273 in 2026, validating the growing importance of non-room revenue capture. The Manna/Amagi F&B concept further supports this strategy with projected annual sales of approximately \$4.5M and positive EBITDA contribution. With strong market fundamentals, multiple revenue channels, and meaningful operational upside, La Costa Hotel represents a compelling hospitality investment opportunity positioned to generate durable cash flow and support long-term debt performance in one of Southern California's most established luxury resort markets.

THANK YOU

